because constant research is needed to evaluate each individual company for things like pricing, dividends, and growth potential.

Personally, I prefer simplified and easy-to-manage investment strategies, specifically, strategies that involve index fund portfolios like the 1-fund portfolio, the 2-fund portfolio, the 3-fund portfolio, the 4-fund portfolio, and the 5-fund portfolio investing strategies. These are popular strategies that many investors leverage and love. Let's get into them, starting with the most popular—the 3-fund portfolio.

THE 3-FUND PORTFOLIO INVESTING STRATEGY

The 3-fund portfolio is basically a portfolio that contains three asset types and uses low-cost index funds or ETFs. In the United States, these three asset types are U.S. stocks, U.S. bonds, and international stocks. Jack Bogle, the founder of the Vanguard brokerage firm, was the first to introduce the idea of index fund investing with the first stock index fund.[1] He then later introduced a bond index and international index to provide his investors with more diversification and more variety of asset classes. Based on these three funds, the 3-fund investing portfolio was born and made popular by the Bogleheads (bogleheads.org), a forum of investing enthusiasts, named to honor Jack Bogle.[2]

The Vanguard funds that are widely considered best for a three-fund portfolio are:[3]

- Vanguard Total Stock Market Index Fund (VTSAX)
- Vanguard Total International Stock Index Fund (VTIAX)
- Vanguard Total Bond Market Fund (VBTLX)

The 3-fund portfolio investing strategy is great for anyone looking for simplicity with investing and a low time commitment. This is because you simply pick three low-cost funds and then align your investments to your investing objectives, rebalancing your portfolio over time as necessary. Among the benefits of the 3-fund portfolio are the following: